AI EQUITY RESEARCH October 12, 2026

Microsoft Corporation

MSFT Technology

RATING

Outperform

PRICE

$541.15

TARGET

$574.50

MARKET CAP

$4,018.34B

P/E (FWD)

28.3x

P/B RATIO

6.26x

ROE

30.2%

DIV. YIELD

0.95%

52W RANGE

$349.20 - $553.72

Investment Thesis

> Microsoft Corporation demonstrated robust financial growth with a historical revenue CAGR of 13.7% from 2022A to 2026A, reaching $331.8 billion in revenue and $207.5 billion in EBITDA in 2026A. The company maintained strong profitability, with EBITDA margins rising to 62.5% in 2026A and contribution margins consistently above 67%. Forecasts indicate continued revenue and earnings expansion through 2029E, supported by leading positions across cloud, productivity, and personal computing segments.

Company Overview

Microsoft Corporation is a leading global technology company headquartered in Redmond, Washington, and operates in the Software - Infrastructure segment of the technology sector. Founded in 1975, Microsoft has developed a broad and diversified business model centered on the creation, marketing, and ongoing support of software, digital services, computing devices, and integrated solutions. The company's operations are structured into three main divisions: Productivity and Business Processes, Intelligent Cloud, and More Personal Computing.

The Productivity and Business Processes segment delivers essential tools for both enterprise and individual users. This includes the comprehensive Office suite—such as Exchange, SharePoint, Microsoft Teams, Office 365 Security and Compliance, Microsoft Viva, and Skype for Business—alongside consumer offerings like Skype, Outlook.com, OneDrive, and LinkedIn. Dynamics 365, a suite of integrated cloud and on-premises business applications, also falls under this division.

The Intelligent Cloud segment is focused on advanced infrastructure and platform services. It encompasses licensing for products such as SQL Server, Windows Servers, Visual Studio, and System Center, as well as Client Access Licenses. This division also includes GitHub, a leading platform for developer collaboration; Nuance, which provides AI solutions for healthcare and businesses; and Azure, Microsoft's expansive cloud computing platform. Additional services include enterprise support, consulting, and professional services related to Microsoft's server and desktop technologies.

The More Personal Computing segment covers a wide range of consumer and commercial computing experiences. It generates revenue from Windows operating system licensing (including OEM and commercial agreements), patent licensing, and Windows IoT. This division also produces hardware such as Surface devices, PC accessories, and Xbox gaming consoles, and manages gaming content, subscription services, and royalties from third-party titles. Search services like Bing and Microsoft's advertising platforms are also part of this segment.

Microsoft distributes its products through various channels, including OEMs, wholesale distributors, resellers, digital marketplaces, its own online storefronts, and physical retail outlets.

In terms of recent financial performance, Microsoft reported revenue of **$331.8 billion** in 2026A, up from **$198.3 billion** in 2022A, representing a historical revenue CAGR of **13.7%** from 2022A to 2026A. EBITDA increased from **$100.2 billion** in 2022A to **$207.5 billion** in 2026A, with the EBITDA margin rising from **50.6%** to **62.5%** over the same period. The company's earnings per share (EPS) grew from 9.7 in 2022A to 18.0 in 2026A. These results underscore Microsoft's strong market position, broad product portfolio, and continued growth across its core business segments.

Investment Overview

Microsoft Corporation delivered robust financial performance through the latest reported period, 2026A. Revenue grew from **$198.3 billion** in 2022A to **$331.8 billion** in 2026A, representing a historical CAGR of **13.7%** over this period. The company's EBITDA also expanded significantly, reaching **$207.5 billion** in 2026A, up from **$100.2 billion** in 2022A. EBITDA margin improved from **50.6%** in 2022A to **62.5%** in 2026A, reflecting strong operational leverage and disciplined cost management. Contribution margin remained consistently high, ranging from **68.4%** to **69.8%** between 2022A and 2024A, and was **67.9%** in 2026A.

Key growth drivers included continued momentum across Microsoft's three core segments: Productivity and Business Processes, Intelligent Cloud, and More Personal Computing. The Intelligent Cloud division, anchored by Azure, benefited from rising demand for cloud infrastructure and AI-driven solutions. Productivity and Business Processes, with offerings like Office 365 and Dynamics 365, maintained relevance for enterprise and consumer customers. The More Personal Computing segment contributed through Windows licensing, Surface hardware, and gaming, including Xbox and related services.

Looking ahead, Microsoft's Financial Metrics forecast steady revenue growth, with revenue expected to reach **$384.1 billion** by 2029E. EBITDA is projected to rise to **$238.1 billion** in 2029E, with margins remaining strong. EPS is forecast to increase from $19.09 in 2027E to $21.47 in 2029E. Revenue growth rates are expected to moderate, with annual increases of **5.0%** in 2027E, **6.0%** in 2028E, and **4.0%** in 2029E.

> Overall, Microsoft’s historical performance demonstrates strong execution and margin expansion, while forecasts indicate continued, albeit moderating, growth supported by its diversified technology portfolio and leadership in cloud and productivity solutions.

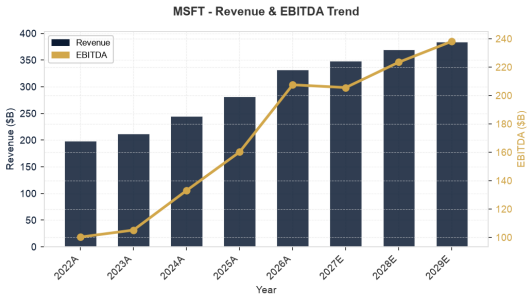
Financial Analysis

Revenue & EBITDA Performance

Microsoft Corporation has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2026A)	**$331.84B**
EBITDA (2026A)	**$207.52B**
Revenue Growth (2026A)	**17.8%**



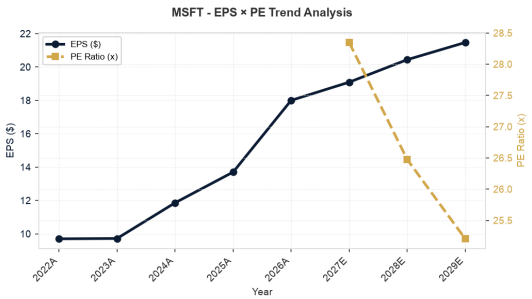
Source: FMP / Company Filings; Forecasts: AI4Finance Estimates

Earnings & Valuation Metrics

Microsoft Corporation's earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2026A)	**18.00**
Forward P/E (2027E)	**28.3x**



Source: FMP / Company Filings; Forecasts: AI4Finance Estimates

Valuation Analysis

Microsoft Corporation’s current valuation reflects its strong historical performance and robust financial profile. As of the latest actual fiscal year, 2026A, Microsoft reported revenue of **$331.8 billion** and EBITDA of **$207.5 billion**, with an EBITDA margin of **62.5%**. Over the historical period from 2022A to 2026A, Microsoft achieved a revenue CAGR of **13.7%**, demonstrating significant growth momentum.

In terms of valuation multiples, Microsoft's EV/EBITDA ratio for 2026A stands at 13.87. This is notably lower than its 2024A multiple of 26.11 and 2025A multiple of 23.60, indicating a substantial compression in valuation despite continued earnings growth. Compared to peers, Apple's EV/EBITDA for 2024A is 26.56, while Cisco's is 13.78. By 2026A, Microsoft's EV/EBITDA is closely aligned with Cisco's (23.66), but well below Apple's most recent available multiple, suggesting Microsoft is trading at a relative discount to Apple and in line with Cisco on a forward basis.

Looking ahead, Microsoft's own forecasts (Financial Metrics table) project continued revenue and EBITDA growth through 2029E, with revenue expected to reach **$384.1 billion** and EBITDA **$238.1 billion** in 2029E. EPS is also forecast to rise from 18.0 in 2026A to 21.47 in 2029E. However, the forecasted revenue growth rates moderate to single digits (**5.0%** in 2027E, **6.0%** in 2028E, and **4.0%** in 2029E), and EBITDA margins are expected to remain strong, stabilizing around 59-**62%**.

> In summary, Microsoft's current valuation multiple is below its recent historical average and is competitive with key peers. Given its strong actual financial results, high margins, and continued growth outlook, Microsoft appears fairly valued relative to its sector, with the potential for upside if it sustains or exceeds forecasted performance.

Target Price Derivation

Method	Target Price	Low	High	Weight	Key Assumptions
EV/EBITDA	$638.71	$534.99	$664.92	100%	EBITDA: 205574260500.0; Target Multiple: 23.6; Historical Median Multiple: 23.6
DCF	$151.98	$132.28	$177.74	100%	Base Actual FCF: 66987000000.0; Normalized FCF Margin: 25.3%; Historical FCF Margin Years: [2024, 2025, 2026]
Peer Comparison	$623.29	$514.45	$732.13	100%	Peer Avg Multiple: 23.0; Peer Range: 19.1x - 27.0x; Number of Peers: 2

WEIGHTED TARGET PRICE

$471.33

VALUATION RANGE

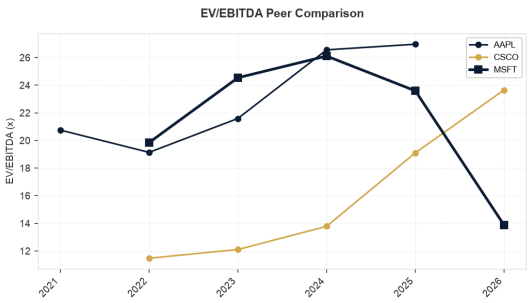
$393.91 - $524.93

IMPLIED DOWNSIDE

12.9%

Peer Comparison

	2021	2022	2023	2024	2025	2026
AAPL	20.8	19.1	21.6	26.6	27.0	-
CSCO	-	11.5	12.1	13.8	19.1	23.7
MSFT	-	19.8	24.5	26.1	23.6	13.9



EV/EBITDA Peer Comparison

Recent News & Events

News Summary

Microsoft Corporation has recently been in the spotlight due to several notable developments, particularly in artificial intelligence and strategic business shifts. Reports indicate that Microsoft plans to deploy its self-developed AI chips on a large scale next year, a move that has contributed to a nearly **1%** rise in its share price during early trading. This initiative underscores Microsoft's commitment to expanding its AI capabilities and reducing reliance on third-party chip suppliers, which could enhance its competitive position in the rapidly evolving AI sector.

The company's strong performance during the third-quarter tech recovery has also been highlighted, with Microsoft standing out among its peers. Analysts and investors are increasingly focused on Microsoft's AI-driven growth story, with some suggesting that the company's aggressive investment in AI justifies a strong buy rating. This sentiment is reinforced by observations that Microsoft is prioritizing AI investments over other segments, such as its Xbox gaming business, which one analyst described as "almost irrelevant" compared to the company's AI ambitions.

Despite broader market dips, Microsoft's stock has shown resilience, gaining ground even as other stocks declined. However, the company faces scrutiny over recent price target revisions by analysts and changes to Xbox pricing, which contributed to a **4.5%** slide in its stock price on one trading day. High-profile investors, such as Michael Burry, have also made notable moves, with Burry exiting his Microsoft position, reflecting shifting sentiment among some market participants.

> **Overall, Microsoft's strategic focus on AI, coupled with its robust cloud and productivity businesses, positions it well for future growth. However, investors**

> should monitor ongoing developments in AI deployment, analyst sentiment, and the company's ability to navigate challenges in its gaming and hardware segments.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2027E Revenue Growth: **5.0%**
- 2027E EBITDA Margin: **59.0%**
- 2028E Revenue Growth: **6.0%**
- 2028E EBITDA Margin: **60.5%**
- 2029E Revenue Growth: **4.0%**
- 2029E EBITDA Margin: **62.0%**

Scenario Ranges:

- Revenue: **$326.5B** - **$441.7B** (+/**-15%** around 2029E base forecast)
- EBITDA: **$202.4B** - **$273.9B** (+/**-15%** around 2029E base forecast)

Sensitivity Notes:

- Revenue growth sensitivity: ±**5%** change in growth rate
- Margin sensitivity: ±**2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Scenario Ranges

Revenue	$326.5B — $441.7B (+/-15% around 2029E base)
EBITDA	$202.4B — $273.9B (+/-15% around 2029E base)

Key Catalysts

Catalyst Analysis for MSFT

Positive Catalysts (Upside Potential)

- **Market** (2026-10-12): Why Microsoft's AI Growth Story Justifies A Strong Buy (NASDAQ:MSFT) - Seeking Alpha
- Impact: LOW
- Source: Seeking Alpha
- Source: Seeking Alpha
- **Earnings** (2026-10-09): Microsoft (MSFT): Accelerating Azure Revenue Growth Drives Quarterly Gains - Yahoo Finance
- Impact: HIGH
- Source: Yahoo Finance
- Source: Yahoo Finance
- **Market** (2026-10-11): Did Azure Growth Just Shift Microsoft (MSFT) Investment Narrative? - Simply Wall Street
- Impact: LOW
- Source: Simply Wall Street
- Source: Simply Wall Street

Risk Factors (Downside Risks)

- **Market** (2026-10-12): Intel INTC Stock Tests $100 Support as New Chinese and MSFT Chip Competition Raises Risks - FXLeaders
- Impact: LOW
- Source: FXLeaders

Events to Monitor

- MSFT Stock Faces A Bigger Test Than Earnings, Gene Munster Says — Why The ‘Bot Boogeyman’ Won’t Go Away - Stocktwits (2026-10-12)
- Source: Stocktwits
- MSFT Stock Slides **4.5%** — Microsoft Price Target Revision By Stifel And Xbox Pricing Changes In Focus - Stocktwits (2026-10-11)
- Source: Stocktwits

- S&P 500, Nasdaq 100, Dow End Week Higher With Traders Eyeing Earnings Season — MSFT, NFLX, SPCX, ASTS In Focus - Stocktwits (2026-10-12)
- Source: Stocktwits

Upcoming Catalysts

▲ EARNINGS Impact: medium
Microsoft (MSFT): Accelerating Azure Revenue Growth Drives Quarterly Gains - Yahoo Finance

▲ MARKET Impact: medium
Why Microsoft's AI Growth Story Justifies A Strong Buy (NASDAQ:MSFT) - Seeking Alpha

▼ MARKET Impact: medium
Intel INTC Stock Tests $100 Support as New Chinese and MSFT Chip Competition Raises Risks - FXLeaders

▲ MARKET Impact: medium
Did Azure Growth Just Shift Microsoft (MSFT) Investment Narrative? - Simply Wall Street

● EARNINGS Impact: medium
MSFT Stock Faces A Bigger Test Than Earnings, Gene Munster Says — Why The 'Bot Boogeyman' Won't Go Away - Stocktwits

Positive Catalysts

✓ Why Microsoft's AI Growth Story Justifies A Strong Buy (NASDAQ:MSFT) - Seeking Alpha

✓ Microsoft (MSFT): Accelerating Azure Revenue Growth Drives Quarterly Gains - Yahoo Finance

✓ Did Azure Growth Just Shift Microsoft (MSFT) Investment Narrative? - Simply Wall Street

Risk Factors

⚠ Intel INTC Stock Tests $100 Support as New Chinese and MSFT Chip Competition Raises Risks - FXLeaders

Technical & Advanced Analysis

Technical Overview — MSFT

Current Price: **$541.15** | 52-Week Range: **$349.20 - $553.72**

Overall Technical Signal: **Bullish**

Moving Averages Bullish

SMA 50: **$501.98** | SMA 200: **$434.28**

RSI Overbought

RSI (14): **77.9** — Overbought territory, potential pullback.

MACD Bullish

MACD: **11.57** | Signal: **9.62** | Histogram: **1.95**

Volume Normal

Latest: **18.0M** | 20d Avg: **22.1M** | Ratio: **0.81x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AAPL	$123.1B	$133.1B	$129.2B	$134.9B	$144.4B	-	$150.4B
CSCO	-	$16.8B	$17.5B	$15.7B	$15.3B	$20.0B	$21.1B
MSFT	-	$100.2B	$105.1B	$133.0B	$160.2B	$207.5B	$205.6B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AAPL	20.8	19.1	21.6	26.6	27.0	-
CSCO	-	11.5	12.1	13.8	19.1	23.7
MSFT	-	19.8	24.5	26.1	23.6	13.9

Analysis

Microsoft Corporation stands out as a global technology leader with a diversified business model spanning productivity software, cloud infrastructure, and personal computing. Its three

core segments—Productivity and Business Processes, Intelligent Cloud, and More Personal Computing—enable it to serve both enterprise and consumer markets with a broad product portfolio, including Office, Azure, Windows, Surface devices, Xbox, and LinkedIn.

Comparing Microsoft to key peers Apple (AAPL) and Cisco (CSCO), Microsoft demonstrates robust financial performance and growth. From 2022A to 2026A, Microsoft achieved a historical revenue CAGR of **13.7%**, reflecting strong momentum across its business lines. In 2026A, Microsoft reported EBITDA of **$207.5 billion**, significantly outpacing Cisco's **$20.0 billion** and exceeding Apple's last available EBITDA of **$144.4 billion** in 2025. This positions Microsoft as a scale leader among its peers.

Microsoft's EBITDA margin has also shown notable improvement, rising from **50.6%** in 2022A to **62.5%** in 2026A. This margin is higher than Cisco's, and Microsoft's 2024A EBITDA of **$133.0 billion** is close to Apple's **$134.9 billion**, despite Apple's greater focus on hardware and consumer electronics. Furthermore, Microsoft's EV/EBITDA multiple in 2024A was 26.1, comparable to Apple's 26.6 and higher than Cisco's 13.8, indicating strong market confidence in Microsoft's future earnings potential.

Looking ahead, Microsoft's forecasts for 2027E-2029E show continued revenue and EBITDA growth, with EBITDA projected to reach **$238.1 billion** by 2029E. This sustained growth, combined with leading margins and a diversified revenue base, positions Microsoft as a top performer in the technology sector, maintaining a competitive edge over both Apple and Cisco in scale, profitability, and market valuation.

Risk Factors

- **Slowing Revenue Growth**: Forecast revenue growth rates for Microsoft decrease from 5.0% in 2027E to 4.0% in 2029E, indicating a deceleration compared to historical growth.
- **Rising Net Debt**: Net debt increased from $44.7 billion in 2023A to $107.9 billion in 2026A, reflecting a significant rise in leverage over recent years.
- **Margin Volatility**: EBITDA margin increased from 49.6% in 2023A to 62.5% in 2026A, but is forecast to decline to 59.0% in 2027E before gradually rising again, indicating potential volatility in profitability.
- **High Operating Costs**: Cost of operations grew from $65.9 billion in 2023A to $106.4 billion in 2026A, and is forecast to further increase, which could pressure margins if revenue growth slows.
- **Competitive Pressure**: Peer comparison shows that Microsoft's EV/EBITDA multiple was 26.1x in 2024A, higher than Cisco's 13.8x and Apple's 26.6x, suggesting elevated valuation and potential vulnerability to competitive or market shifts.

Key Takeaways

Revenue Growth

Microsoft achieved strong historical revenue growth with a CAGR of **13.7%** from 2022A to 2026A, culminating in **$331.8 billion** in 2026A. Forecasts indicate a moderation, with revenue growth rates of **5.0%** in 2027E, **6.0%** in 2028E, and **4.0%** in 2029E.

Gross Profit Margin

Contribution margin (a proxy for gross profit margin) remained robust, ranging from **68.4%** in 2022A to **67.9%** in 2026A, and is projected to improve further to **70.9%** by 2029E.

SG&A Expense Margin

SG&A margin has steadily declined from **14.0%** in 2022A to **10.4%** in 2026A, with forecasts showing continued improvement to **8.9%** by 2029E, reflecting increasing operational efficiency.

EBITDA Margin

EBITDA margin increased from **50.6%** in 2022A to **62.5%** in 2026A, and is expected to remain strong, reaching **62.0%** in 2029E, indicating sustained profitability improvements.

Financial Data

Income Statement Summary

METRICS	2022A	2023A	2024A	2025A	2026A
Revenue	$198.3B	$211.9B	$245.1B	$281.7B	$331.8B
SG&A	$27.7B	$30.3B	$32.1B	$32.9B	$34.7B
Contribution Profit	$135.6B	$146.1B	$171.0B	$193.9B	$225.5B
Contribution Margin	68.4%	68.9%	69.8%	68.8%	67.9%
EBITDA	$100.2B	$105.1B	$133.0B	$160.2B	$207.5B
EBITDA Margin	50.6%	49.6%	54.3%	56.9%	62.5%
SG&A Margin	14.0%	14.3%	13.1%	11.7%	10.4%
Revenue Growth	-	6.9%	15.7%	14.9%	17.8%

Credit & Cash Flow Metrics

METRICS	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.47	0.39	0.36	0.33	0.29
Debt/Assets	0.21	0.19	0.19	0.18	0.17
Interest Coverage	40.4x	45.0x	37.3x	53.9x	50.9x
Net Margin	36.7%	34.1%	36.0%	36.1%	40.3%
Current Ratio	1.8	1.8	1.3	1.4	1.2
Operating Cash Flow Ratio	0.94	0.84	0.95	0.96	1.08

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